

SavePredictedExams — SME

Economics

Higher level

Paper 3

SME Predicted Paper Set — Advanced

1 hour

Instructions to candidates

- Do not open this examination paper until instructed to do so.
- You are permitted access to a calculator for this paper.
- Answer **all** questions.
- Answers must be written within the answer boxes provided.
- Unless otherwise stated in the question, all numerical answers must be given exactly or correct to two decimal places.
- You must show all your working.
- Use fully labelled diagrams where appropriate.
- The maximum mark for this examination paper is **[60 marks]**.

1. The United Kingdom grocery market is an **oligopoly**: in 2023 the four largest supermarkets — Tesco, Sainsbury's, Asda and Morrisons — held a combined market share of 65%. The industry features high concentration, product differentiation and significant barriers to entry. Firms rely heavily on non-price competition and **behavioural-economic** strategies such as loss-leader pricing, loyalty schemes and default meal deals.

Firm	Market share (%)
Tesco	27.5
Sainsbury's	15.8
Asda	13.7
Morrisons	8.0
Aldi	10.2
Lidl	7.8
Other	17.0

(a) (i) Define the term **oligopoly**. [2]

(ii) Using the data above, calculate the **four-firm concentration ratio (CR4)**. [2]

(iii) Explain, using a kinked-demand-curve diagram, why firms in an oligopoly may exhibit **price rigidity**. [4]

Tesco and Sainsbury's must simultaneously choose between setting a **high** or **low** price for milk. Table 1 shows monthly profit (£ millions) under each combination.

	Sainsbury's: High	Sainsbury's: Low
Tesco: High	(40 , 30)	(10 , 35)
Tesco: Low	(45 , 8)	(20 , 15)

(Tesco, Sainsbury's) payoffs in £ million.

(iv) Using Table 1, identify the Nash equilibrium and explain your reasoning. [4]

(v) Distinguish between **collusive** and **non-collusive** oligopoly. [2]

Supermarkets use **choice architecture** — placing sugary snacks at child eye-level at checkouts — raising consumption of demerit goods. In 2022 the UK government banned such displays as a **nudge** to healthier eating.

(vi) Define the term **nudge**. [2]

(vii) Explain **two** reasons why consumer decisions in supermarkets may not be perfectly rational. [4]

(viii) State **one** firm objective alternative to profit maximisation. [1]

(b) Using the text/data provided and your knowledge of economics, **recommend** a policy that the UK government could introduce to protect consumers in the oligopolistic UK grocery market. [10]

2. Bangladesh has experienced strong economic growth since 2000, driven by its ready-made garment exports and remittances. Despite reaching **lower-middle-income** status, the country continues to face high levels of income inequality and rural poverty. Table 1 below shows the distribution of Bangladeshi household income by quintiles in 2022.

Income quintile	Share of national income (%)
Poorest 20%	4.0
Second 20%	8.0
Third 20%	13.0
Fourth 20%	20.0
Richest 20%	55.0

(a) (i) Define the term **Gini coefficient**. [2]

(ii) Using the data in Table 1, calculate the cumulative share of income received by the poorest 60% of households. [2]

(iii) Draw and label a **Lorenz curve** showing the distribution of income in Bangladesh. [3]

(iv) Outline **one** cause of income inequality in a developing country. [2]

Bangladesh's HDI rose from 0.500 in 2010 to 0.670 in 2022. Over the same period its GNI per capita (PPP\$) rose from \$3,800 to \$6,200.

(v) State **two** dimensions/indicators used to construct the HDI. [2]

(vi) Calculate the percentage change in Bangladesh's HDI between 2010 and 2022. [2]

(vii) Explain, using a PPC or LRAS diagram, how investment in education can generate long-run economic growth. [4]

Bangladesh is home to the Grameen Bank, the pioneer of **microfinance**. In 2022, Grameen disbursed \$3.2 billion in loans, with repayment rates of 98%.

(viii) Outline the meaning of the term **microfinance**. [2]

(ix) Distinguish between **absolute poverty** and **relative poverty**. [2]

(b) Using the text/data provided and your knowledge of economics, **recommend** a policy that the Bangladeshi government could introduce to reduce income inequality. [10]